

1.4 Making the business effective

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone question bank — with original figures, charts, diagrams

Each question carries its full case-study extract (text), data tables, AND embedded original-paper pages for any figures / charts / bar-gate graphs / diagrams / photos. Print and revise without needing the original papers.

- **Total questions:** 38
- **Total marks:** 175
- **Sub-topics covered:** 4
- **Questions with embedded source pages:** 38
- **Original PDF pages embedded:** 66

By series:

- **Specimen SAMs:** 7 questions
- **June 2019:** 5 questions
- **Nov 2020:** 4 questions
- **Nov 2021:** 4 questions
- **June 2022:** 5 questions
- **June 2023:** 6 questions
- **June 2024:** 7 questions

1.4.1 The options for start-up and small businesses (12 questions)

Specimen SAMs · Paper 1 · Q1(d) · \$A

Explain

3 marks

SOURCE PAGES FROM ORIGINAL PAPER

Introduction

The Pearson Edexcel Level 1/Level 2 GCSE (9–1) in Business is designed for use in schools and colleges. It is part of a suite of GCSE qualifications offered by Pearson.

These sample assessment materials have been developed to support this qualification and will be used as the benchmark to develop the assessment students will take.

Explain one disadvantage to a sole trader of having unlimited liability.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Unlimited liability will increase the personal financial risks (1) for a sole trader. This is because they become responsible for all losses made by the business (1), which could result in them having to sell personal assets to pay any losses (1). The sole trader could lose personal possessions (1). As there is no distinction between the business and the individual (1), losses made by the business have to be paid by the individual (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract B: Sally is a fitness instructor at a local sports centre (Figure 4). She is now considering setting up her own business as a personal trainer (Figure 5). Sally's research shows that people are more interested in health and fitness. Although there are a number of gyms in her local area, there are not many personal trainers. Sally has conducted some research into who her main competitors will be. A summary of the research is shown in Figure 6. Sally will charge £25 per hour. She is flexible in terms of the location of her customers and will travel within a 10-mile radius. She hopes to attract a younger market segment by using social media and online promotion. She aims to differentiate her service in a number of ways: Using social media to communicate directly with her customers, offering daily motivational reminders. Filming parts of the customer's training session and posting it online for them to evaluate their performance on their own device. Figure 6: Competitor 1: 'Vitality' personal instructor, £22 per hour, Strength: Experienced personal trainer with good local reputation, Weakness: Operates in only a small geographical area. Competitor 2: 'Bootcamp' personal trainer, £220 for an 11-session block, Strength: Ex-soldier using military training methods, Weakness: Limited number of training methods used. Sally is currently well paid and has saved up enough money to start up on her own. She is considering buying a franchise. There are a number of national franchise operators that she could use. However, she is concerned about the current economic climate. She has seen reports that unemployment is rising and that consumer incomes are falling.

DATA FOR QUESTION 7

Sally is considering whether or not to buy a franchise to start up on her own.

SOURCE PAGES FROM ORIGINAL PAPER

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(Total for Question 4 = 8 marks)

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- 5 As a result of the queues in the shop, Neil and Sue have decided to implement a contactless payment system at *Meringue*.

(a) Outline **one** impact on *Meringue* of lengthy queues as customers wait to pay.

(2)

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The cost of the contactless payment system is £4 500. Neil and Sue plan to borrow the money from their bank. They will repay the loan over three years. Their monthly repayment is £136.50.

(b) Calculate the total interest Neil and Sue will pay for this loan as a percentage of the total amount borrowed. You are advised to show your workings.

(2)

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Handwriting practice area with 20 horizontal lines.

Justify whether or not Sally should buy a franchise.

MARK SCHEME ANSWER

Indicative content: Sally has saved enough money to start her business and can therefore afford the costs associated with a franchise (AO2). Starting up on her own without buying a franchise will give Sally more freedom. She has her own ideas for differentiating her service, for example by the use of social media, and a franchise may not allow her to pursue some or all of them (AO2). Becoming a franchisee means she could benefit from the established name that comes with taking out a franchise and will not have to spend time and money establishing her own name. There are established competitors in the market and a franchise name may help (AO3a). If the franchise does not allow Sally to implement some of her ideas to target a younger target market, her service may not be differentiated from rival personal trainers, such as 'Vitality' (AO3a). Establishing a new business, especially in a market where competition exists, requires strong brand recognition. Sally is likely to get this from a franchise in a way that she is unlikely to gain by herself. Despite the costs involved, this appears to be the most suitable option for Sally at this time, especially given the worsening economic climate, which will only add to the uncertainty in this market (AO3b). Starting up on her own without buying a franchise appears to be the best option for Sally. Although the franchise option would provide reassurance of an established name, the market she is entering does not have much competition (just two rivals). Her ideas for differentiating her business will undoubtedly help her to stand out in a fairly small but growing market. Freedom is more important than brand name at this stage (AO3b). Level 1 (1-3), Level 2 (4-6), Level 3 (7-9) descriptors apply.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is a short-term source of finance?

Select **one** answer.

(1)

- ☐ A Retained profit
- ☐ B Share capital
- ☐ C Trade credit
- ☐ D Venture capital

- (b) Which **one** of the following is a definition of an exchange rate?

Select **one** answer.

(1)

- ☐ A The flow of goods and services into a country
- ☐ B The value of one currency in terms of another currency
- ☐ C A tax on a particular good or service
- ☐ D When businesses operate on an international scale

- (c) Explain **one** benefit to an entrepreneur of buying a franchise to start a business.

(3)

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Explain one benefit to an entrepreneur of buying a franchise to start a business.

MARK SCHEME ANSWER

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. An entrepreneur could receive support and training (1). This means they are less likely to make poor business decisions (1), which reduces the chance of business failure (1). The entrepreneur could benefit from national advertising campaigns (1) because they have access to a larger advertising budget (1). This means the business will have increased brand awareness (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 4

Refers to Last Course Patisserie case study (private limited company in Devon producing hand-made desserts).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION B

Answer ALL questions.

Read the following extract before answering Questions 4, 5 and 6.

Write your answers in the spaces provided.



Source: © Elena Dijour/Shutterstock

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided *Last Course Patisserie* with a reputation for being flexible when meeting customer needs.

Getting the best ingredients for the desserts is a vital part of the business. *Last Course Patisserie* found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed.

Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. *Last Course Patisserie* is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for *Last Course Patisserie* to expand and possibly relocate to new premises.



(Source adapted from: <http://devondesserts.co.uk/>;
photo: © 2009-2018. *Last Course Patisserie Ltd.*)

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(b) Analyse the impact on *Last Course Patisserie* of operating as a private limited company.

(6)

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(Total for Question 4 = 8 marks)

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Analyse the impact on Last Course Patisserie of operating as a private limited company.

MARK SCHEME ANSWER

Indicative content: It can make it easier to raise finance for the business expansion as it can sell shares (AO2). Shareholders may not agree about the most suitable location for the possible new premises (AO2). The business will require increased funds to increase the production of the desserts on the new menu. This will include the purchase of new machinery (AO3a). It may be felt that it would be better to move the premises closer to the market whilst others would argue it is better to stay closer to the excellent suppliers (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

DATA FOR QUESTION 2

Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

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Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash.

Selling price	£15
Rent	£500
Wages	£1 000
Advertising	£150

Table 1

- (c) Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

(2)

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- (d) Explain **one** disadvantage of starting a small business as a partnership.

(3)

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Explain one disadvantage of starting a small business as a partnership.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There may be disagreements between the partners (1). This means it will be difficult to make business decisions (1). This will lead to the business not being able to meet the needs of its customers (1). A deed of partnership may have to be produced (1). This increases the administration/legal requirements of the business (1). This will therefore increase the start-up costs of the business (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

SOURCE PAGES FROM ORIGINAL PAPER

3 (a) Which **one** of the following is a characteristic of a sole trader?

(1)

Select **one** answer.

- ☐ A They require a business qualification
- ☐ B They have unlimited liability
- ☐ C They can sell shares to raise finance
- ☐ D They do not employ staff

Figure 1 shows the total costs for a business between May and July.

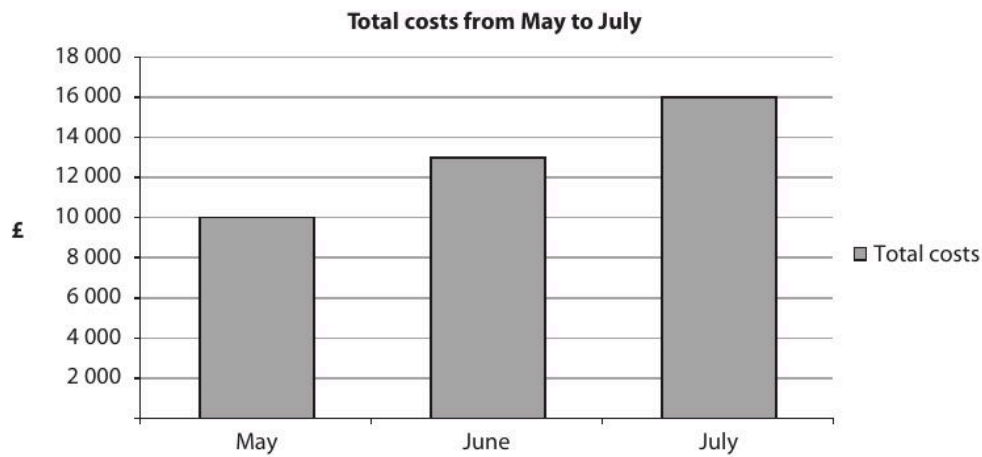


Figure 1

(b) Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

(2)

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Turn over ►

Which one of the following is a characteristic of a sole trader?

- A. They require a business qualification
- B. They have unlimited liability

C. They can sell shares to raise finance

D. They do not employ staff

MARK SCHEME ANSWER

The only correct answer is B - They have unlimited liability. A is not correct because a sole trader does not need to have a business qualification. C is not correct because a sole trader cannot sell shares to raise finance. D is not correct because some sole traders will employ staff.

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

SOURCE PAGES FROM ORIGINAL PAPER

3 (a) Which **one** of the following is a disadvantage of starting a partnership? (1)

Select **one** answer.

- ☐ A Business owners have different skills
- ☐ B Can be easier to raise finance
- ☐ C Business decisions affect all partners
- ☐ D Financial information is kept private

Figure 1 shows the sales revenue of a business from January to April.

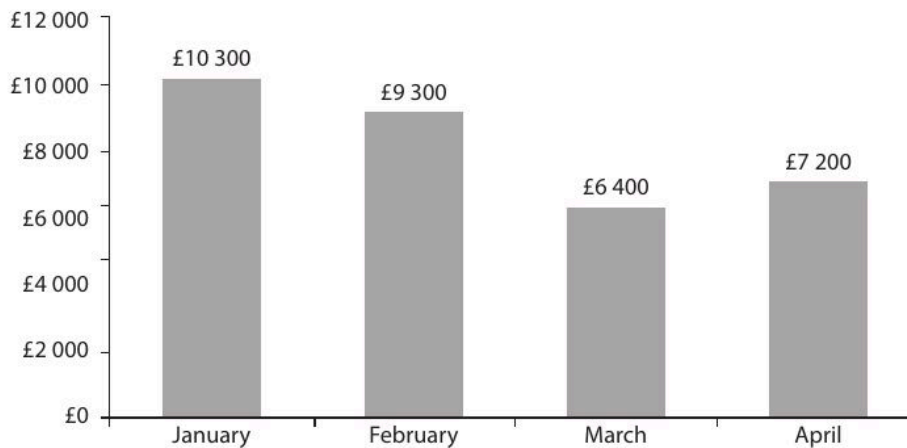


Figure 1

(b) Using the information in Figure 1, calculate, to 2 decimal places, the percentage decrease in sales revenue from January to March. You are advised to show your workings. (2)

..... %



Which one of the following is a disadvantage of starting a partnership?

- A. Business owners have different skills
- B. Can be easier to raise finance

C. Business decisions affect all partners

D. Financial information is kept private

MARK SCHEME ANSWER

C - Business decisions affect all partners

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.



(Source: adapted from <http://www.littlemovers.net/our-classes>)



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(b) Analyse the impact on an entrepreneur of being a *Little Movers* franchisee.

(6)

Handwriting practice lines for the answer.

(Total for Question 4 = 8 marks)



11

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Analyse the impact on an entrepreneur of being a Little Movers franchisee.

MARK SCHEME ANSWER

Indicative content: The franchisee will have access to help and support from the franchisor. The business already has an established and successful brand (AO2). The franchisee will need to pay start-up and royalty fees to the franchisor (AO2). They will receive full training and bookings can be done via a centralised booking system. This support makes it easier than starting the business as a sole trader (AO3a). This leads to increase in costs for the franchisee who will have to pay the monthly fees for branding and lesson plans, even if they create their own lessons (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing. The use of social media is something Digital Allies believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals. In February 2019, Digital Allies announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK. (Source: adapted from <https://digitalallies.co.uk>)

DATA FOR QUESTION 7

Figure 2 shows the number of social media accounts in the UK in 2019. Snapchat 14.5 million; Facebook 40 million; LinkedIn 27 million; Twitter 13.6 million; Instagram 24 million.

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing.

The use of social media is something *Digital Allies* believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals.

In February 2019, *Digital Allies* announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK.

**Delivering new audiences
through digital.**

(Source: adapted from <https://digitalallies.co.uk>)



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(c) Outline **one** impact on the owners of *Digital Allies* from being a private limited company.

(2)



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Outline one impact on the owners of Digital Allies from being a private limited company.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact on owners of Digital Allies. Award a maximum of 1 mark if points are not linked. They have limited liability (1). This will reduce the risk of the three-year expansion plan (1). They can sell shares to raise finance (1). This could allow them to purchase its new offices, rather than rent (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** advantage of starting a business as a private limited company.

(3)

(d) Explain **one** way the internet may affect where a small business chooses to locate.

(3)

(Total for Question 1 = 8 marks)



P 7 1 0 3 6 A 0 3 2 4

3

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Explain one advantage of starting a business as a private limited company.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. The owners would have limited liability (1). This means that any debts are the responsibility of the business (1). Therefore, the personal possessions of the owners will not have to be sold to pay the debts of the business (1). The business can sell shares to raise finance (1). This is good because the business may have extra funds for investment (1). This may lead to a reduction in the chance of business failure (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

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(c) Explain **one** disadvantage of starting a business as a partnership.

(3)

(d) Explain **one** advantage to customers from increased competition.

(3)

(Total for Question 1 = 8 marks)



P 7 5 5 2 5 A 0 3 2 4

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Turn over ►

Explain one disadvantage of starting a business as a partnership.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. There may be disagreements between partners (1). This means it can be difficult for decisions to be made (1). Therefore, the business will take longer to respond to the needs of customers (1). Decisions made by one partner can affect all partners (1). If this leads to financial loss, then all partners are liable for the debts (1). This may lead to partners losing the money that they invested in the business (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

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(d) Explain **one** disadvantage to a small business from using retained profit for expansion.

(3)

(e) Explain **one** advantage of opening up a business as a franchise.

(3)

(Total for Question 2 = 12 marks)



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Explain one advantage of opening up a business as a franchise.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. An entrepreneur could receive help and advice when starting the business (1). This would support the owner in making key business decisions (1). This would reduce the chance of business failure (1). The entrepreneur would have access to an established brand (1). This would make it easier to attract customers to the new business (1). Therefore, more likely to lead to a successful start (1). Accept any other appropriate advantage. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

1.4.2 Business location (5 questions)

Specimen SAMs · Paper 1 · Q3(e) · \$A

Discuss

6 marks

SOURCE PAGES FROM ORIGINAL PAPER

SECTION A

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☒. If you change your mind about an answer, put a line through the box ☒ and then mark your new answer with a cross ☒.

- 1 (a) Which **one** of the following is an example of a variable cost?

Select **one** answer:

(1)

- ☐ A Rent
- ☐ B Raw materials
- ☐ C Insurance
- ☐ D Advertising

- (b) Which **one** of the following describes the role of an entrepreneur?

Select **one** answer:

(1)

- ☐ A Being employed by a large organisation
- ☐ B A willingness to take risks
- ☐ C Having sufficient money to start a new business
- ☐ D Being able to work alone

- (c) Explain **one** benefit to a business of using a market map.

(3)

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Discuss what a small business owner should consider when deciding upon the location for their business.

MARK SCHEME ANSWER

Indicative content: Proximity to market (AO1b). The amount of competition in the area (AO1b). This increases the likelihood of being visible to potential customers so the business can attract more passing trade (AO3a). This might impact on the pricing strategy of the business as they may have to charge lower prices to be competitive (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour.



(Source: Mike Flippo/Shutterstock)

Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from *Sports Tours Ltd*.

In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams.

Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities.

(Source: adapted from <https://www.sports-tours.co.uk/about>)



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(b) Analyse the impact of the internet on the location of *Sports Tours Ltd's* premises.

(6)

Handwriting practice lines for the answer.

(Total for Question 4 = 8 marks)



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11

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Analyse the impact of the internet on the location of Sports Tours Ltd's premises.

MARK SCHEME ANSWER

Indicative content: The business does not require an expensive retail outlet. The majority of communications with sports teams can be done online (AO2). There is no need for modern office facilities to impress visiting customers (AO2). As a result, fixed costs will be reduced which will therefore lower the number of tours required to break even (AO3a). The majority of the sports teams will not be local to Sports Tours Ltd so will not be able to visit the premises in person (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.



(Source: adapted from <http://www.littlemovers.net/our-classes>)



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4 (a) Outline **one** factor that may influence the location of a *Little Movers* franchise.

(2)

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Outline one factor that may influence the location of a Little Movers franchise.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable factor that would influence the location of a Little Movers franchise. Award a maximum of 1 mark if points are not linked. Little Movers would consider the proximity to the market (1). They will need to be located close to a number of families with pre-school children (1). Little Movers will have to consider the location of its other franchises (1). They offer a particular area for any new dance franchisees (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** advantage of starting a business as a private limited company.

(3)

(d) Explain **one** way the internet may affect where a small business chooses to locate.

(3)

(Total for Question 1 = 8 marks)



P 7 1 0 3 6 A 0 3 2 4

3

Turn over ►

Explain one way the internet may affect where a small business chooses to locate.

MARK SCHEME ANSWER

Award 1 mark for identification of a way, plus 2 further marks for explaining this way up to a total of 3 marks. The business could choose a cheaper location (1). This is because the business can use e-commerce (1). As a result, the business may not require a physical retail location (1). The business will need to be in a location with good internet connections (1). This is because a business may need the internet to communicate with stakeholders (1). A location with a weak signal could cause barriers to communication for the business (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend. The gym at PFC is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership. Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. PFC has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at PFC.

DATA FOR QUESTION 7

Table 3 shows the % of the local population that has a gym membership in different regions of the UK. Scotland: 15%; North east: 15%; North west: 16%; Yorkshire: 16%; East Midlands: 12%; West Midlands: 13%; Wales: 13%; South west: 10%; South east: 13%; London: 18%.

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(c) Outline **one** factor that could have influenced the location of *PFC*.

(2)



17

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SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © Stefan Dahl Langstrup / Alamy Stock Photo)

Figure 3

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend.

The gym at *PFC* is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership.

Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. *PFC* has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at *PFC*.

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3



Outline one factor that could have influenced the location of PFC.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a factor that could have influenced the location of PFC. Award a maximum of 1 mark if points are not linked. The proximity to customers (1). PFC would have needed to be located in area where it could attract members to join the gym (1). The level of competition in the area (1). PFC may have chosen an area where there were no other gyms (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

1.4.3 The marketing mix (16 questions)

Specimen SAMs · Paper 1 · Q2(d) · \$A

Explain

3 marks

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

SOURCE PAGES FROM ORIGINAL PAPER

General marking guidance

- All candidates must receive the same treatment. Examiners must mark the last candidate in exactly the same way as they mark the first.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- Examiners should mark according to the mark scheme – not according to their perception of where the grade boundaries may lie.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification/indicative content will not be exhaustive.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, a senior examiner must be consulted before a mark is given.
- Crossed-out work should be marked **unless** the candidate has replaced it with an alternative response.

Marking guidance for levels based mark schemes

How to award marks

The indicative content provides examples of how students will meet each skill assessed in the question. The levels descriptors and indicative content reflect the relative weighting of each skill within each mark band.

Finding the right level

The first stage is to decide which level the answer should be placed in. To do this, use a 'best-fit' approach, deciding which level most closely describes the quality of the answer. Answers can display characteristics from more than one level, and where this happens markers must use the guidance below and their professional judgement to decide which level is most appropriate.

Placing a mark within a level

After a level has been decided on, the next stage is to decide on the mark within the level. The instructions below tell you how to reward responses within a level. However, where a level has specific guidance about how to place an answer within a level, always follow that guidance. Statements relating to the treatment of students who do not fully meet the requirements of the question are also shown in the indicative content section of each levels based mark scheme. These statements should be considered alongside the levels descriptors.

Explain one method a business could use to add value to its product.

MARK SCHEME ANSWER

Award 1 mark for identification of a method, plus 2 further marks for explaining how this method will add value, up to a total of 3 marks. One method is by having a unique selling point (USP) (1). This will help the product to stand out against competitors by having something they do not have (1). As a result customers will be willing to pay more for a product they see as more original (1). One method to add value is by having a distinct brand image (1). This will help the business to be easily recognised by customers (1). As a result, customers are more prepared to pay a higher price for a product as they recognise and trust the name (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but.....' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

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(d) Explain **one** disadvantage to a sole trader of having unlimited liability.

(3)

(Total for Question 1 = 8 marks)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Outline one method of promotion that would be appropriate for Meringue.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a suitable method of promotion for Meringue. Award a maximum of 1 mark if points are not linked. By offering free food samples to passers-by (1) potential customers can taste the high quality ingredients (1). Meringue can print a voucher offering a discount in a local newspaper (1) to encourage customers to come in on quieter days (1). Do not accept methods of promotion that would not be appropriate for a small town centre bakery and cafe such as Meringue, for example a national TV advertising campaign.

CASE STUDY EXTRACT

Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but.....' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

DATA FOR QUESTION 6

Neil and Sue have produced the following break even diagram, showing the costs and revenue for their business. Figure 3 shows fixed costs (horizontal line at ~£600), variable costs (rising line), total costs (dashed line) and total revenue (dotted line) plotted against number of sales 0-300 with revenue/costs 0-£3000.

ADDITIONAL INFORMATION

Neil and Sue are considering two options to reduce the amount they need to sell to break even. Option 1: Increasing average prices by 10%. Option 2: Reducing the cost of ingredients by using a cheaper supplier.

SOURCE PAGES FROM ORIGINAL PAPER

(e) Discuss what a small business owner should consider when deciding upon the location for their business.

(6)

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 1 and 2 and Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** method of promotion that would be appropriate for *Meringue*.

(2)

- (b) Analyse the impact on Meringue of allowing customers to order their food online in advance.

(6)

SECTION C

Answer ALL questions. Write your answers in the spaces provided.

In the source booklet, look at Figures 4, 5, 6 and read Extract B, then answer Question 7.

- 7 (a) State **one** risk that Sally faces in starting this business.

(1)

- (b) Identify which of Sally's competitors is the most expensive per hour.

(1)

- (c) Outline **one** way in which the economic climate might impact on Sally's business.

(2)

Sally is considering whether or not to buy a franchise to start up on her own.

- (d) Justify whether or not Sally should buy a franchise.

(9)

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Justify which one of these two options Neil and Sue should choose.

MARK SCHEME ANSWER

Indicative content: Neil and Sue's competitive advantage comes from non-price factors, such as quality (AO2). Raising price may be risky as Meringue is located in the town centre, close to competing cafes (AO2). Non-price factors mean most customers will stay loyal despite price increases. This will mean that total revenue will increase despite the increase in price and therefore will reduce the amount they need to sell to break even (AO3a). Competition may result in a loss of customers as higher prices deter existing customers preferring cheaper alternatives (AO3a). The most appropriate option for Neil and Sue is to raise prices. The main feature of the business is 'quality' and anything that puts this at risk must be avoided. Lower-priced ingredients could impact on quality (AO3b). The break-even chart shows that the cost of ingredients is a very small proportion of total costs for Neil and Sue. This means that it will have a very small impact on their ability to break even. Therefore, an increase in price would be the most effective option to reduce the amount they have to sell (AO3b). Level 1 (1-3): Limited application... simple justification. Level 2 (4-6): Sound application... justification based on sound evaluation. Level 3 (7-9): Detailed application... clear justification based on a thorough evaluation.

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

SOURCE PAGES FROM ORIGINAL PAPER

2 (a) Which **two** of the following are elements of the marketing mix?

Select **two** answers.

(2)

- ☐ A Payment
- ☐ B Planning
- ☐ C Price
- ☐ D Product
- ☐ E Profit

(b) Which **two** of the following areas are covered by employment law?

Select **two** answers.

(2)

- ☐ A Consumer rights
- ☐ B Discrimination
- ☐ C E-commerce
- ☐ D Health and safety
- ☐ E Quality of products

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Which two of the following are elements of the marketing mix?

- A. Payment
- B. Planning

- C. Price
- D. Product
- E. Profit

MARK SCHEME ANSWER

C - Price; D - Product (2)

CASE STUDY EXTRACT

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion. Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition. Customer service has always been an important part of Aphrodite's success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website. A new opportunity was created when the shop premises next to Aphrodite became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this. Figure 2 shows information about interest rates that might help them when making their decision. UK Interest Rate from Jan-08 (5.00%) falling to 0.50% by Jan-09 and remaining around 0.25% until Jan-16.

DATA FOR QUESTION 7

Aphrodite case study. Table 3 shows the value of the pound (£) in euros (€) from June to September. June: 1.13; July: 1.11; August: 1.09; September: 1.14.

ADDITIONAL INFORMATION

Aphrodite case study (online clothing retailer using e-commerce since 2007).

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



aphrodite

© Aphrodite Clothing

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion.

Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition.

Customer service has always been an important part of *Aphrodite's* success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website.

A new opportunity was created when the shop premises next to *Aphrodite* became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this.

Figure 2 shows information about interest rates that might help them when making their decision.

(Source: adapted from <https://www.aphrodite1994.com/about-us> and interview with owner 9/10/2017; photo: © fipphoto/Shutterstock)

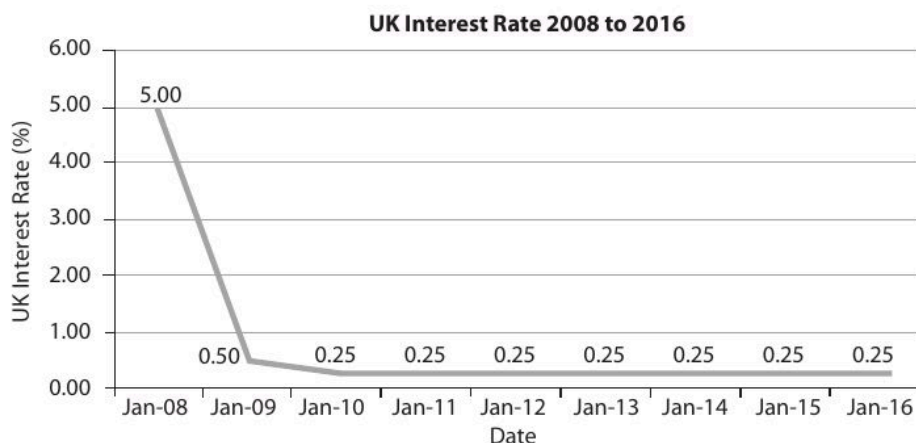


Figure 2



(e) Evaluate the impact of e-commerce on *Aphrodite's* marketing mix. You should use the information provided as well as your knowledge of business.

(12)

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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS
TOTAL FOR PAPER = 90 MARKS



Evaluate the impact of e-commerce on Aphrodite's marketing mix. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: E-commerce will allow Aphrodite to sell its clothes to a wider market (AO1b). The clothes market is very competitive so using e-commerce may have a limited effect on sales (AO1b). The website has been operating since 2007 allowing customers from all over the world to buy clothes from Aphrodite (AO2). Many other clothes shops sell labels such as Stone Island and Hugo Boss. This will make it difficult to attract the attention of new customers (AO2). The full range of clothes, with all sizes, can be displayed on the website. If the website is well designed and the ordering/returns is easy for customers then sales should increase because new customers will be confident that the service they receive from the website matches the high service levels they would have received in person (AO3a). In order to attract new customers then the brothers may have to be price competitive. This would mean lowering their prices and reducing the profit margins on the clothes. Suppliers may not allow them to do this as cheaper prices can harm the image of a brand (AO3a). However, customers may be reluctant to purchase clothes using e-commerce because they are unable to try the clothes on to ensure they fit. Aphrodite sell expensive brands so customers may not want to spend large sums of money if they cannot check the fit and quality first (AO3b). However, many people live busy lives and not be able to go shopping as much as they would like. E-commerce would still lead to increased sales with existing customers as they would shop online. They trust the business and, as long as the website offers excellent service, they will appreciate the convenience it offers (AO3b).

Level 1 (1-4 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b).

Level 2 (5-8 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b).

Level 3 (9-12 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

DATA FOR QUESTION 2

Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

SOURCE PAGES FROM ORIGINAL PAPER

(e) Explain **one** way the marketing mix of a small business may change due to changing consumer needs.

(3)

(Total for Question 2 = 12 marks)

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Explain one way the marketing mix of a small business may change due to changing consumer needs.

MARK SCHEME ANSWER

Award 1 mark for identification of a way the marketing mix may change, plus 2 further marks for explaining this way up to a total of 3 marks. A small business may have to make changes to its product (1). This is because the lifestyle of consumers may require extra features on a product (1). Therefore, the design of the product may need to change to meet consumer needs (1). A small business may have to change its prices (1). Economic conditions may lead to consumers having less money (1). Therefore, the consumer will feel they are still getting value for money (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

SOURCE PAGES FROM ORIGINAL PAPER



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(c) Explain **one** disadvantage to a small business of an increase in interest rates.

(3)

(d) Explain **one** disadvantage to a small business of manufacturing a high quality product.

(3)



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7

Turn over ►



Explain one disadvantage to a small business of manufacturing a high quality product.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

High quality products may be more expensive to produce (1). This is because the cost of raw materials may be high (1). Therefore, the business may have to charge a premium price that some customers cannot afford (1).

High quality products may need specialised labour (1). Employees with these skills may be difficult to recruit (1). Therefore, the business may have to pay high training costs to develop the skills of its employees (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)

DATA FOR QUESTION 7

Figure 2 shows the age of entrepreneurs starting businesses in the UK since 2000. 16 to 34: 10%, 35 to 44: 25%, 45 to 54: 31%, 55 to 64: 26%, Over 65: 7%.

ADDITIONAL INFORMATION

In order to improve its brand awareness, That Feeling is considering two options: Option 1: increase its range of own brand clothing. Option 2: open a second shop.

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

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(Source: Flat_Enot/Shutterstock)



(Source: OnD/Shutterstock)

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli.

The unique nature of *That Feeling* not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells *That Feeling* branded clothes and vintage glasses frames.

When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated:

'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.'

Justin now acts as a mentor to staff members at *That Feeling* by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business.

(Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)



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17

Turn over ►

In order to improve its brand awareness, *That Feeling* is considering two options:

Option 1: increase its range of own brand clothing

Option 2: open a second shop.

(d) Justify which **one** of these two options *That Feeling* should choose.

(9)

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21

Turn over ►



Justify which one of these two options That Feeling should choose.

MARK SCHEME ANSWER

Indicative content: If That Feeling sells more branded clothes then more people will be wearing clothing with the barber shop's distinctive logo on (AO2). A second barber shop will allow the business to move into another geographical area and offer its service to a new range of customers. This will increase brand awareness to a whole new range of potential customers (AO2). As That Feeling is associated with famous footballers then people will start to recognise the brand of the business when they see it on the clothing. This will allow the business to grow using a wider range of products and improve brand awareness with young, fashionable customers wearing the clothing (AO3a). The first shop in Potters Bar has many unique features that can be replicated in a second shop. The first shop has been very successful so this indicates there is likely to be enough demand to open a second shop (AO3a). However, the core part of the business is the barber shop and this is where Justin's passion lies. By extending the amount of clothing then this will divert customer attention away from the barbering side of the business (AO3b). However, a key factor in the success of the first shop is the high quality of the barbers and the mentoring Justin carries out with his employees. This might be difficult to replicate in a second shop and the business may therefore lose its USP (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

DATA FOR QUESTION 5

When starting the business in 2007, Melanie took out a loan. The financial details of this loan are in Table 2. Loan required from the bank: £10,000; Total repayments for loan: £11,100; Length of loan: 3 years.

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SECTION B**Answer ALL questions.****Read the following extract before answering Questions 4, 5 and 6.****Write your answers in the spaces provided.**

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes.

Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started *Little Movers* as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children.

To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the *Little Movers* brand, being the only *Little Movers* franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes.

This approach proved to be highly successful. *Little Movers* now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai.



(Source: adapted from <http://www.littlemovers.net/our-classes>)



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(c) Analyse the impact on *Little Movers* of having a strong brand.

(6)

Handwriting practice lines for the answer.

(Total for Question 5 = 10 marks)



13

Turn over ►

Analyse the impact on Little Movers of having a strong brand.

MARK SCHEME ANSWER

Indicative content: A strong brand helps customers to identify with the business. It will help them to associate certain qualities with the brand such as the amount of fun their children have at the dance classes (AO2). Branding allows the business to add value to the pre-school dance classes (AO2). This will allow the business to create loyalty to the brand and generate repeat custom. This is important because Little Movers will want parents to bring their children throughout their pre-school years and not just try it once (AO3a). Adding value is important because it will allow the franchisee to charge a premium price. There is a lot of competition in this market and parents want the best for their children. If they have a perception of quality then they will pay more for the classes and birthday parties (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing. The use of social media is something Digital Allies believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals. In February 2019, Digital Allies announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK. (Source: adapted from <https://digitalallies.co.uk>)

DATA FOR QUESTION 7

Figure 2 shows the number of social media accounts in the UK in 2019. Snapchat 14.5 million; Facebook 40 million; LinkedIn 27 million; Twitter 13.6 million; Instagram 24 million.

ADDITIONAL INFORMATION

In order to help improve digital marketing for a local university, Digital Allies is considering two options:
Option 1: improve the design of the university website; Option 2: design a social media campaign to target new students.

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SECTION C**Answer ALL questions.****Read the following extract carefully and then answer Question 7.****Write your answers in the spaces provided.**

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing.

The use of social media is something *Digital Allies* believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals.

In February 2019, *Digital Allies* announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK.

**Delivering new audiences
through digital.**

(Source: adapted from <https://digitalallies.co.uk>)

**17****Turn over ►**

In order to help improve digital marketing for a local university, *Digital Allies* is considering two options:

Option 1: improve the design of the university website

Option 2: design a social media campaign to target new students.

(d) Justify which **one** of these two options *Digital Allies* should choose.

(9)

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Justify which one of these two options *Digital Allies* should choose.

MARK SCHEME ANSWER

Indicative content: If Digital Allies improved the design of the website then it will give the university a more modern and contemporary feel that will appeal to new students (AO2). The target market of students is more likely to use and interact with social media on a regular/daily basis. This increases the likelihood that they could see the digital communication (AO2). The university website is likely to be the main source of information when students are making their choice on where to study. If the website is attractive then it will create a good impression. Students are more likely to select a degree course from that university as a result (AO3a). Young people now use a variety of different social media platforms which provides a range of opportunities for Digital Allies. The way in which some platforms such as Facebook and Twitter operate will allow communication to spread amongst users as they can see other profiles (AO3a). However, this relies on students visiting the website. If the students are not fully aware of the university through other means then they may never visit the website and see the new design. This could depend on how many students are from other geographical locations (AO3b). However, it depends on how long communication on social media is visible. If it does not stay visible for long and users may tend to pass over information very quickly. Information about courses at university could be too detailed to for this method of communication (AO3b).

Levels: Level 0 No rewardable material. Level 1 (1–3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4–6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7–9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 6

In order to make the business more successful, Lili Heating Ltd is considering two options: Option 1: offer a discounted price to female customers. Option 2: use social media to promote the business.

SOURCE PAGES FROM ORIGINAL PAPER

6 (a) State **one** element of the marketing mix, other than price, for *Lili Heating Ltd*.

(1)

(b) Outline **one** reason why the government would want *Lili Heating Ltd* to be successful.

(2)

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



State one element of the marketing mix, other than price, for Lili Heating Ltd.

MARK SCHEME ANSWER

Award 1 mark for stating one element of the marketing mix for Lili Heating Ltd. The place of distributing her services to customer homes in Birmingham (1). Promotion methods to attract female customers (1). Product is to repair/install boilers (1). To award 1 mark there must be evidence of application.

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 6

In order to make the business more successful, Lili Heating Ltd is considering two options: Option 1: offer a discounted price to female customers. Option 2: use social media to promote the business.

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In order to make the business more successful, *Lili Heating Ltd* is considering two options:

Option 1: offer a discounted price to female customers

Option 2: use social media to promote the business.

(c) Justify which **one** of these two options *Lili Heating Ltd* should choose.

(9)

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Handwriting practice area with 10 horizontal dotted lines.

(Total for Question 6 = 12 marks)

TOTAL FOR SECTION B = 30 MARKS

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SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Justify which one of these two options Lili Heating Ltd should choose.

MARK SCHEME ANSWER

Indicative content: Offering discounted prices to female customers will help build on her unique selling point of being a female plumber (AO2). Using social media makes it much easier to communicate with customers when giving advice and clear prices for the plumbing work (AO2). Female customers often feel they cannot trust male plumbers when they give them prices to repair their houses. If Amelia offers a discount to female customers, it will make them aware that she is trying to help them overcome this problem (AO3a). This will help promote the quality of customer service Amelia can give to customers. As a result, customers can leave positive reviews on social media which will help her achieve her advertising objective of gaining customers through word-of-mouth recommendations (AO3a). However, Amelia may be alienating male customers. They will feel that Lili Heating Ltd is not being fair in only offering the discount to women. This could create bad publicity for Amelia and give the business a bad image with half the population in Birmingham (AO3b). However, there is a lot of competition in the Birmingham area so it will be difficult to get her social media promotion noticed. This could make it difficult to differentiate her service (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

CASE STUDY EXTRACT

Extract B: Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying Ripple to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but Ripple claims that it can supply energy cheaper than its competitors. The process of becoming a member is very simple. Firstly, Ripple will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. Ripple manages the wind farm and provides energy to each customer's home or business. Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

DATA FOR QUESTION 7

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019. 2018: Gas 39.4%, Renewables 33.3%, Nuclear 19.5%, Coal 5.0%, Oil 2.8%. 2019: Gas 40.6%, Renewables 37.1%, Nuclear 17.3%, Coal 2.2%, Oil 2.8%.

SOURCE PAGES FROM ORIGINAL PAPER



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(e) Evaluate the importance of price in *Ripple*'s marketing mix. You should use the information provided as well as your knowledge of business.

(12)

Ruled area for writing the answer to question (e).



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(Total for Question 7 = 25 marks)

TOTAL FOR SECTION C = 25 MARKS

TOTAL FOR PAPER = 90 MARKS





SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © fokke baarssen/Shutterstock)

Figure 3

Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying *Ripple* to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but *Ripple* claims that it can supply energy cheaper than its competitors.

The process of becoming a member is very simple. Firstly, *Ripple* will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. *Ripple* manages the wind farm and provides energy to each customer's home or business.

Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

(Source: adapted from <https://rippleenergy.com/>)

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Evaluate the importance of price in *Ripple's* marketing mix. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Price is an important part of the marketing mix as it will be a major influence on how many customers choose to invest in the energy plans of Ripple (AO1b). Other parts of the marketing mix such as place, product and promotion may be more important than the price element (AO1b). The energy market is very competitive and is dominated by many large suppliers such as British Gas. Ripple's plan of investing in wind farms could lead to lower energy prices for customers (AO2). Many customers may be new to the green energy market and will only move from existing suppliers if Ripple can make customers aware of the business through effective promotion. (AO2). Households are using increasing amounts of energy which will lead to higher household bills for gas and electric. They will be attracted to the possibility of lower bills if Ripple's prices are lower than competitors. Energy bills form a large part of household expenditure so lower prices will be important to a lot of customers (AO3a). Ripple is a new business and is offering electricity via the USP of investing in a wind farm. Penetrating the market via effective promotion may be the most important part of the marketing mix as customers will need a lot of information. Choosing suitable promotion methods may therefore be more important than the price of energy (AO3a). However, the business model for Ripple is different from other energy suppliers. Investing in the wind farm may be confusing for customers. As a result, they may not buy electricity from Ripple despite its promise of lower prices (AO3b). However, Ripple has an objective of being an ethical business. Consumers are becoming increasingly ethical and are becoming more interested in environmental matters but are often reluctant to pay higher prices. Lower prices may therefore be the key influence in persuading customers to swap suppliers and achieve its non-financial aims (AO3b). Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

DATA FOR QUESTION 3

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

SOURCE PAGES FROM ORIGINAL PAPER

(e) Discuss the way a small business could use branding to add value.

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(Total for Question 3 = 15 marks)

TOTAL FOR SECTION A = 35 MARKS

8



Discuss the way a small business could use branding to add value.

MARK SCHEME ANSWER

Indicative content: Branding can help consumers to identify with a product and associate certain characteristics with that brand (AO1b). Branding can create customer loyalty meaning customers are more likely to repeat purchase a product (AO1b). If consumers identify with a certain brand there is an increased willingness to pay a higher price for the product (AO3a). Customer loyalty will still allow a business to charge a higher price despite higher levels of competition (AO3a). Level 1 (1-2): Demonstrates elements of knowledge with limited business terminology. Level 2 (3-4): Demonstrates mostly accurate knowledge with appropriate terminology in places. Level 3 (5-6): Demonstrates accurate knowledge throughout with appropriate use of business terminology and detailed interconnected points with logical chains of reasoning.

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 5

Table 2 shows how many pairs of trainers were customised by Adikoggz from July to December 2022. July: 52; August: 61; September: 47; October: 34; November: 52; December: 72.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Analyse the advantage to *Adikoggz* from using social media to promote its products.

(6)

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(Total for Question 5 = 10 marks)



SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Analyse the advantage to Adikoggz from using social media to promote its products.

MARK SCHEME ANSWER

Indicative content: Using social media platforms such as Facebook and Instagram is a low cost way to show images of the trainers that have been customised (AO2). Social media will allow Keilan to engage with his customers and answer queries about deep cleaning prices (AO2). The trainers will be in the colours of football teams so the fans of these teams may share the images of the trainers on social media at no extra cost to Adikoggz (AO3a). This improves the level of customer service which Adikoggz offers and therefore promotes a positive brand image. Other social media users can see this which can lead to them also wanting their trainers cleaned (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

CASE STUDY EXTRACT

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend. The gym at PFC is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership. Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. PFC has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at PFC.

DATA FOR QUESTION 7

Table 3 shows the % of the local population that has a gym membership in different regions of the UK. Scotland: 15%; North east: 15%; North west: 16%; Yorkshire: 16%; East Midlands: 12%; West Midlands: 13%; Wales: 13%; South west: 10%; South east: 13%; London: 18%.

ADDITIONAL INFORMATION

In order to increase the number of new members at PFC, the owner is considering two options: Option 1: reducing the price of membership. Option 2: providing an individual fitness plan for all new members.

SOURCE PAGES FROM ORIGINAL PAPER

In order to increase the number of new members at *PFC*, the owner is considering two options:

Option 1: reducing the price of membership

Option 2: providing an individual fitness plan for all new members.

(d) Justify which **one** of these two options would have the bigger impact on new membership at *PFC*.

(9)

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SECTION C

Look at Figure 3 and read Extract B, then answer Question 7.

Extract B



(Source: © Stefan Dahl Langstrup / Alamy Stock Photo)

Figure 3

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend.

The gym at *PFC* is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership.

Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. *PFC* has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at *PFC*.

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Justify which one of these two options would have the bigger impact on new membership at PFC.

MARK SCHEME ANSWER

Indicative content: Reducing the price of gym membership from £39 per month may attract new members who would wish to pay a lower price to keep fit (AO2). Personalised fitness plans will add value to the membership and give new members more of an incentive to join and keep fit (AO2). A new gym has opened in the area with a much lower price of £19 per month. There are also a wide range of other ways to keep fit which cost a lot less than what PFC charges. If PFC cuts its price, then customers may feel the membership offers much better value for money (AO3a). The level of membership is relatively low at PFC so giving individual plans is possible. They can also be tailored to individual members and may help to attract people aged over 50 because they feel the gym is more suited to their needs (AO3a). However, the price of the competition is much lower and is offered by a large national chain that may have a lower cost per member. PFC will find it difficult to compete on price so should consider other ways to compete such as on quality (AO3b). However, this may take up a lot of time for the owner. They may also have to put on additional fitness classes to suit the different needs of the members. As these are included in the price of the membership then this would lead to an increase in costs (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application, clear justification based on thorough evaluation.

1.4.4 Business plans (5 questions)

Specimen SAMs · Paper 1 · Q2(e) · \$A

Explain

3 marks

DATA FOR QUESTION 2

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

SOURCE PAGES FROM ORIGINAL PAPER

General marking guidance

- All candidates must receive the same treatment. Examiners must mark the last candidate in exactly the same way as they mark the first.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- Examiners should mark according to the mark scheme – not according to their perception of where the grade boundaries may lie.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification/indicative content will not be exhaustive.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, a senior examiner must be consulted before a mark is given.
- Crossed-out work should be marked **unless** the candidate has replaced it with an alternative response.

Marking guidance for levels based mark schemes

How to award marks

The indicative content provides examples of how students will meet each skill assessed in the question. The levels descriptors and indicative content reflect the relative weighting of each skill within each mark band.

Finding the right level

The first stage is to decide which level the answer should be placed in. To do this, use a 'best-fit' approach, deciding which level most closely describes the quality of the answer. Answers can display characteristics from more than one level, and where this happens markers must use the guidance below and their professional judgement to decide which level is most appropriate.

Placing a mark within a level

After a level has been decided on, the next stage is to decide on the mark within the level. The instructions below tell you how to reward responses within a level. However, where a level has specific guidance about how to place an answer within a level, always follow that guidance. Statements relating to the treatment of students who do not fully meet the requirements of the question are also shown in the indicative content section of each levels based mark scheme. These statements should be considered alongside the levels descriptors.

Explain one reason why an entrepreneur would produce a business plan.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks. To provide information for the bank when applying for a loan (1). The bank will be able to see important information about how the business will operate (1), and can therefore make a judgement about the ability of the business to repay the loan (1). To enable the entrepreneur to collect information about the business to plan ahead (1). Projections of sales and costs help the entrepreneur to make decisions about buying stock (1) so that the business can meet customer needs (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 3

Figure 1 shows information about the financial performance of a business from January to March. January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March: Revenue £10 000, Total costs £12 000.

SOURCE PAGES FROM ORIGINAL PAPER

(c) Explain **one** benefit to a small business of understanding customer needs.

(3)

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(d) Explain **one** reason why it is important to include financial information in a business plan.

(3)

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Explain one reason why it is important to include financial information in a business plan.

MARK SCHEME ANSWER

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason up to a total of 3 marks. This will help minimise risk (1). Financial information such as a cash flow forecast can help identify potential problems (1). This will allow the business to plan for these problems in advance (1). The financial information can help the business to obtain finance (1), because the figures can be reviewed by a bank (1). Therefore, the bank can then make a judgement whether the business can repay the loan or not (1). Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Stand up paddleboarding is a sport which is similar to surfing but the riders use a paddle whilst standing on the board. Joe Thwaites opened Loco in 2012 as he spotted a gap in the market manufacturing stand up paddleboards (SUPs). Joe felt that he could compete using innovative designs and by changing the shape of the SUPs he made. He spent a few weeks in Fuerteventura, Spain, working with professional SUP riders where he developed designs for three Loco boards. Since then Loco has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships. Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that Loco can compete against larger manufacturers. (Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

DATA FOR QUESTION 7

Table 3 shows the interest rate paid on savings between 2014 and 2017. 2014: 1.49%; 2015: 1.40%; 2016: 1.25%; 2017: 1.00%.

SOURCE PAGES FROM ORIGINAL PAPER

SECTION C

Answer ALL questions.

Read the following extract carefully and then answer Question 7.

Write your answers in the spaces provided.



(Source: © Locosurfing.com)

Since then *Loco* has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships.



(Source: © Longjournes/Shutterstock)

Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that *Loco* can compete against larger manufacturers.

(Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

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7 (a) State **one** stakeholder of *Loco*.

(1)

Table 3 shows the interest rate paid on savings between 2014 and 2017.

Year	Interest rate (%)
2014	1.49
2015	1.40
2016	1.25
2017	1.00

Table 3

(b) Using the information in Table 3, identify the best year for *Loco* to save any retained profit it may have.

(1)

(c) Outline **one** way that a business plan could have helped Joe Thwaites when starting *Loco*.

(2)



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Turn over ►

Outline one way that a business plan could have helped Joe Thwaites when starting *Loco*.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining one-way Joe Thwaites could have used a business plan. Award a maximum of 1 mark if points are not linked. Joe could have used a business plan to set the aims and objectives for Loco (1). This would have helped to create USPs (unique selling points) for the SUPs that helped the business be competitive against larger manufacturers (1). Joe could have used a business plan to forecast the financial information for Loco (1). This would have helped to judge if the costs of travelling to Fuerteventura could be afforded (1). Do not accept ways that would not be appropriate for Loco. For example, to obtain finance for the expansion of the business.

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

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SECTION B

Answer ALL questions. Write your answers in the spaces provided.

In the Source Booklet, look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

- 4 (a) Outline **one** way that financial information in a business plan could help
Lili Heating Ltd.

(2)



9

Turn over ►

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A



(Source: © Shutterstock)

Figure 2

Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area.

Amelia is now in a position where she wants to start her own plumbing business called *Lili Heating Ltd*. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes.

As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend *Lili Heating Ltd* to their friends and families. For this to happen she knows that her work must be of the highest standard.

Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.



Outline one way that financial information in a business plan could help Lili Heating Ltd.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a way financial information in a business plan could help forecast success. Award a maximum of 1 mark if points are not linked. The business plan could contain a cash-flow forecast for Lili Heating Ltd (1). This would help ensure there was always enough cash to pay for plumbing supplies (1). A break even forecast could be included in the business plan (1). This would set a target of how many female customers were needed to start making a profit (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

CASE STUDY EXTRACT

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay Adikoggz to source and design a new pair of trainers to meet their needs. Adikoggz charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20. The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start Adikoggz and the business now receives orders from all over the world. Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of Adikoggz is the personalised service it offers and that every customer will receive a unique product at the end of the process.

DATA FOR QUESTION 6

To help prevent cash-flow problems Adikoggz is considering two options as a short-term source of finance:
Option 1: an overdraft from the bank. Option 2: trade credit from suppliers.

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6 (a) State **one** example of a cash inflow for *Adikoggz*.

(1)

(b) Outline **one** benefit to Keilan from producing a business plan for *Adikoggz*.

(2)



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Turn over ►

SECTION B

Look at Figure 2 and read Extract A, then answer Questions 4, 5 and 6.

Extract A

Adikoggz is a small business based in Leeds. It offers the customising of trainers. It was set up by Keilan Kogut in 2018. The business designs personalised trainers including those associated with the colours and images of football teams or music bands. Customers can either supply their own trainers to be customised or pay *Adikoggz* to source and design a new pair of trainers to meet their needs. *Adikoggz* charges up to £200 for a new pair of customised trainers. It also offers a service to deep clean trainers. The price for this is £20.



(Source: © Jonathan Day / Alamy Stock Photo)

Figure 2

The business started as a hobby but after showing off the designs on social media platforms such as Facebook and Instagram, Keilan started to receive follower requests asking him to customise or source unique styles of trainers. This gave him the inspiration to start *Adikoggz* and the business now receives orders from all over the world.

Keilan still carries out much of the work himself, but the growing number of orders has led him to struggle to keep up with demand. He now employs four people to help him with customisations. However, he still feels that the USP of *Adikoggz* is the personalised service it offers and that every customer will receive a unique product at the end of the process.

(Source: adapted from <https://www.adikoggz.com/> and <https://www.facebook.com/adikoggz>)



Outline one benefit to Keilan from producing a business plan for *Adikoggz*.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit from producing a business plan. Award a maximum of 1 mark if points are not linked. It allows Keilan to think through each step before starting the business (1). Therefore, he can make plans if the business does not get enough customers who want customised trainers (1). The business plan can provide information for external parties (1). It may help get trade credit from suppliers of trainers (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.